

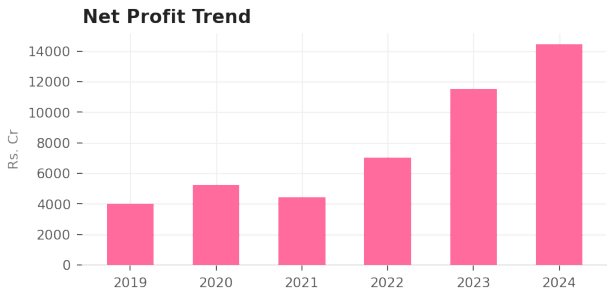
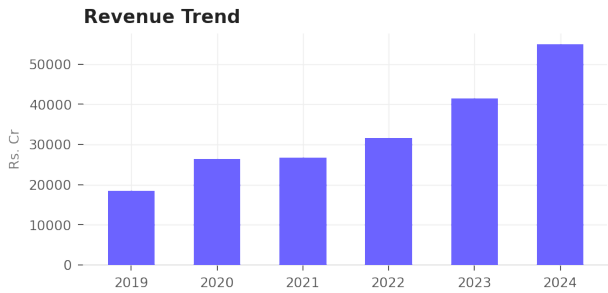
Bajaj Finance Ltd

BAJFINANCE | Financials - Consumer Finance | Large Cap

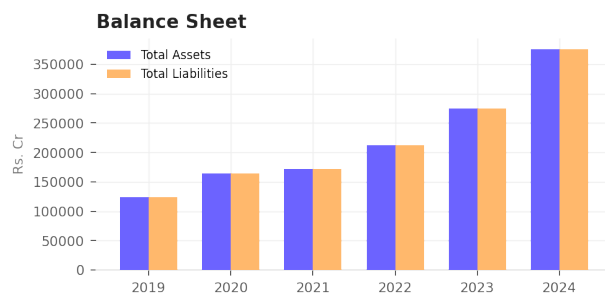
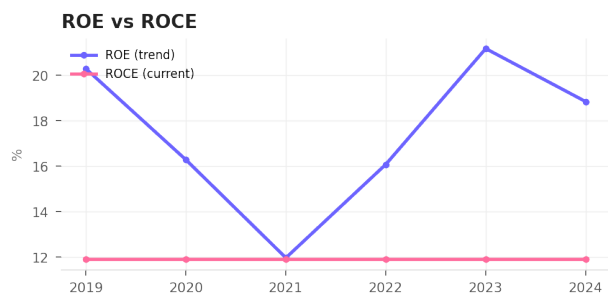
18.8%	11.9%	3.82x	69.2x	0.3%	50/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Bajaj Finance Ltd - Financial Trends



Pros

- + Company comfortably covers its interest obligations (2689.2x interest coverage). (98% confidence)
- + Company has delivered strong profit growth of 32.9% CAGR over the last 5 years. (98% confidence)
- + Company has grown earnings per share at 30.0% CAGR over the last 5 years. (98% confidence)
- + Company has delivered strong sales growth of 27.7% CAGR over the last 5 years. (93% confidence)
- + Company maintains a strong operating margin of 29.3%. (74% confidence)
- + Company has a strong return on equity of 18.8%. (66% confidence)

Cons

- Company carries a high debt-to-equity ratio of 3.82. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -4.73x), an accrual risk. (98% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)
- Company is capital intensive, spending 11.5% of sales on capex. (71% confidence)